A-level

ECONOMICS

Paper 2 National and international economy

Predicted Paper Set B — Hard

Trade and globalisation focus

MARK SCHEME and MODEL ANSWERS

Total paper mark: 80 | Section A: 40 marks | Section B: 40 marks

General marking guidance

- Examiners reward responses for what candidates have demonstrated, not penalised for omissions.
- Where a response falls between two levels, the mark awarded should reflect the quality of analysis and evaluation, not just the number of points made.
- Diagrams must be accurate and fully labelled to score full marks. A clear verbal description of the diagram may earn partial credit.
- Indicative content is not exhaustive. Alternative relevant arguments and examples should be credited on merit.
- For evaluation questions, credit the quality of judgement — a clear, reasoned conclusion supported by analysis is essential for the top level.

Assessment Objectives (AOs)

AO1 Knowledge and understanding of economic terms, concepts, theories and models.

AO2 Application of economic knowledge and understanding to various contexts.

AO3 Analysis of economic issues, showing understanding of their impact on economic agents.

AO4 Evaluation of economic arguments and use of qualitative and quantitative evidence to support informed judgements.

Section A — Data Response

UK Trade and CPTPP Membership

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0 1	*Calculate the UK's trade deficit in goods with the EU in 2023.*	2 marks

Indicative content

Formula: Trade deficit in goods = Imports − Exports

Working: £215bn (imports from EU) − £145bn (exports to EU) = £70bn

Answer: A trade **deficit of £70bn** (or £70 billion).

Mark allocation (2 marks)

- **1 mark** — correct calculation (£215bn − £145bn).
- **1 mark** — correct final answer of £70bn, clearly identified as a trade deficit.

Award 2 marks for a fully correct answer of £70bn (deficit). Award 1 mark for a correct figure without identifying it as a deficit, or correct working producing a minor arithmetic error. Candidates who present the figure as −£70bn also earn full marks. Units (£bn, £70 billion) must be present for the final mark.

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0 2	*Diagram and explanation: how a fall in net exports affects UK real output and the price level.*	4 marks

Indicative diagram

A standard AD/AS diagram with:

- Axes: Price level (vertical), Real GDP / real output (horizontal).
- Upward-sloping SRAS curve and downward-sloping AD_1 curve; initial equilibrium at PL_1, Y_1.
- Fall in net exports (X − M) causes AD to shift LEFT to AD_2.
- New equilibrium at $PL_2 < PL_1$ and $Y_2 < Y_1$.
- Optional: vertical LRAS curve to indicate the economy operating below potential output (a negative output gap).

Indicative written explanation

Aggregate demand is defined as AD = C + I + G + (X − M). A fall in net exports — whether from weaker demand abroad, a stronger sterling exchange rate, or new trade barriers such as post-Brexit customs checks (Extract A) — reduces the (X − M) component. The AD curve shifts to the left from AD_1 to AD_2. At the new equilibrium, both the price level and real GDP are lower. Multiplier effects amplify the initial impact: reduced export orders mean lower wages and profits in exporting sectors, which reduces consumption in the wider economy, further depressing AD. Real wages may fall and unemployment may rise during the adjustment.

Mark allocation (4 marks)

- **1 mark** — correctly labelled axes (Price level and Real GDP), with AD_1, SRAS and initial equilibrium (PL_1, Y_1) shown.
- **1 mark** — AD correctly shifted LEFTWARDS to AD_2 with new equilibrium at lower PL and lower Y.
- **1 mark** — identification that the mechanism is AD = C + I + G + (X − M), or an equivalent reference to (X − M) falling shifting AD left.
- **1 mark** — clear written explanation of the mechanism (lower net exports → lower AD → lower Y, lower PL), optionally with reference to the multiplier.

A clear verbal description of the diagram may earn up to 3 marks where a visual diagram is absent but the mechanism is fully explained.

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0 3	*Analyse two potential macroeconomic benefits to the UK of joining the CPTPP.*	**9 marks**

Required economic framework

- CPTPP: eleven-nation (now twelve, including the UK) free trade agreement covering around 15% of world GDP, lowering tariffs and reducing non-tariff barriers on trade in goods and services.
- Benefits operate through several channels: net exports component of AD; long-run productive capacity (LRAS) via comparative advantage, economies of scale and dynamic efficiency; investment flows; geopolitical/economic-resilience insurance.

Benefit 1: Access to fast-growing Asia-Pacific markets and export diversification

CPTPP membership gives UK exporters tariff and regulatory preferences in a set of economies that, according to the IMF, will generate a substantial share of global growth over the next two decades. For the UK, this offers diversification away from the EU market, which has shrunk as a destination: Extract B shows UK goods exports to the EU fell from £170bn (2019) to £145bn (2023), a 15% decline reinforced by the paperwork and rules-of-origin barriers described in Extract A. Access to Japanese, Canadian and Australian markets on preferential terms raises (X − M), shifting AD right, and over the long run provides UK firms with economies of scale and learning-by-exporting effects that shift LRAS right.

Benefit 2: A hedge against rising protectionism and stronger foundations for inward FDI

Extract C notes that supporters see CPTPP as a hedge against rising protectionism — a rules-based agreement insulates UK firms from unilateral tariff action and provides legal certainty for long-run contracts. This supports inward FDI: the UK retained £29.5bn of inward FDI in 2023 (Extract B), one of the highest in Europe, partly because investors value access to a wide network of trade agreements. Higher FDI adds directly to AD through the I component, and over the long run raises LRAS through capital deepening and the introduction of new production techniques. Lower tariffs on imported intermediate inputs also reduce costs for UK producers, shifting SRAS rightwards and helping contain inflation.

Chains of reasoning expected

(i) CPTPP → lower tariffs / easier market access in the Asia-Pacific → higher UK exports → higher (X − M) → AD shifts right → higher Y and employment in export sectors, and long-run productivity gains through specialisation and scale.

(ii) CPTPP → rules-based predictability → higher investor confidence → stronger FDI flows → higher investment I and transfer of technology → higher AD in the short run and outward LRAS shift in the long run.

Application using the extracts

- **Extract A:** EU goods exports down 15% — context for why diversification matters.
- **Extract B:** EU exports £170bn → £145bn 2019–2023; inward FDI £29.5bn in 2023 — evidence for both benefits.
- **Extract C:** supporters' argument that CPTPP hedges against protectionism and unlocks future Asian growth.

Mark scheme — levels

Level	Marks	Descriptor
Level 3	7–9	Two distinct, fully-developed chains of reasoning linking CPTPP membership to specific macroeconomic benefits (AD, LRAS, FDI, productivity). Accurate diagram where relevant. Clear and sustained use of the extracts, including data citation.
Level 2	4–6	Two benefits identified but at least one is under-developed, or only one is explored in depth. Some use of the extracts. Minor inaccuracies in economic analysis.
Level 1	1–3	One benefit identified; limited development. Little or no use of the extracts. Macroeconomic framework weak or absent.

Maximum 6 marks if only one benefit is explored in depth. Reward any economically valid second benefit — e.g. improved terms of trade, gains from trade via comparative advantage, lower consumer prices, supply-chain resilience, or geopolitical insurance value.

0 4	*Evaluate the view that free trade agreements such as the CPTPP are beneficial for UK long-run economic growth.*	**25 marks**

Arguments FOR (FTAs are beneficial for UK long-run growth)

- **Comparative advantage and specialisation:** FTAs allow countries to specialise in goods and services where they have the lowest opportunity cost, raising aggregate world output and enabling both partners to consume beyond their own PPF. For the UK, this supports the specialisation in services (finance, legal, creative) that is its dominant comparative advantage.
- **Market access and economies of scale:** CPTPP opens access to economies covering around 15% of world GDP. Larger markets allow UK producers to exploit economies of scale, lowering average costs and shifting LRAS rightwards.
- **Dynamic efficiency:** Exposure to foreign competition forces UK firms to innovate, cutting costs and improving product quality. The Single Market itself was widely credited with raising UK productivity during the 1990s–2000s.
- **Diversification and resilience:** Extract A shows UK goods exports to the EU fell by 15% between 2019 and 2023; CPTPP provides alternative export destinations, reducing dependence on any single partner.
- **Inward FDI:** Extract B confirms inward FDI remained at £29.5bn in 2023 despite Brexit uncertainty; a network of FTAs signals openness and predictability, supporting capital deepening and technology transfer.
- **Hedge against protectionism:** Extract C emphasises CPTPP as a hedge — a rules-based agreement provides legal insurance against unilateral tariff action, particularly valuable in a period of rising global protectionism.

Arguments AGAINST / evaluation

- **Small magnitude:** Extract C reports the OBR's central estimate that CPTPP will raise UK GDP by just 0.08% over 15 years — a very small gain compared with the 4% long-run loss estimated from leaving the EU Single Market. On these figures, CPTPP offsets only around 2% of the Brexit hit.
- **Gravity model:** The empirical literature consistently finds that trade falls sharply with distance and that contiguous, culturally similar trading partners dominate flows. CPTPP members are geographically distant, so the gains are limited regardless of tariff concessions.
- **Trade diversion:** FTAs can divert trade from lower-cost producers outside the agreement to higher-cost producers within it. If CPTPP diverts UK purchases from more efficient EU suppliers to less efficient CPTPP suppliers, welfare falls.
- **Distributional effects:** Gains from FTAs are often concentrated among exporting firms and skilled workers, while import-competing sectors (UK agriculture, certain manufacturing) face adjustment pressure. Without complementary redistribution policy, aggregate gains can coexist with regional decline.
- **Regulatory and policy autonomy costs:** CPTPP imposes rules on investor-state dispute settlement (ISDS), intellectual property and regulation of digital trade that may constrain future UK policy choices on health, environment or competition.

- **Environmental costs:** Long-distance trade increases transport emissions; some FTAs weaken environmental standards. This externality is not priced in the headline GDP gains.
- **FTAs are not a substitute for deeper integration:** Extract B suggests the UK's current account deficit widened from −2.7% GDP (2019) to −3.1% (2023); Extract A notes small businesses still face EU paperwork and rules-of-origin barriers. These structural issues are not solved by an FTA like CPTPP.

Alternative or complementary policies

- Deeper EU relationship (SPS agreement, partial Single Market access, youth mobility) — larger gains by the gravity model.
- Supply-side reform (skills, infrastructure, R&D) — tackles UK productivity weakness directly.
- Industrial strategy — targeted support for tradeable sectors where UK could build comparative advantage.
- Customs and trade facilitation — reducing non-tariff barriers produces larger gains than headline tariff cuts.
- Active labour market policies — mitigate the distributional costs of trade adjustment.

Expected judgement and conclusion

A strong answer recognises that FTAs like CPTPP deliver small-positive long-run growth gains, but these are modest in scale compared with the structural trade shock of Brexit and with plausible supply-side reforms. The best conclusion is therefore conditional: FTAs are beneficial at the margin — the OBR's 0.08% is positive, not zero — and provide real option value as a hedge against protectionism and as an FDI-friendly signal, but they cannot substitute for geographic trade fundamentals or domestic productivity reform. A portfolio of policies (FTAs + deeper EU relations + supply-side reform + trade facilitation) will deliver larger long-run gains than FTAs alone. The statement is therefore correct in direction but overstates the magnitude — FTAs contribute to, but do not drive, UK long-run growth.

Mark scheme — levels

Level	Marks	Descriptor
Level 5	21–25	Sophisticated analysis and evaluation. Sustained chains of reasoning with accurate diagrams and/or numerical use of the OBR estimate; substantial use of all three extracts and own knowledge including comparative-advantage, gravity-model and trade-diversion reasoning; clear, well-supported judgement.
Level 4	16–20	Good analysis and evaluation. Diagram(s) present and mostly accurate. Two or more developed evaluative points on each side. Supported judgement, possibly less nuanced.
Level 3	11–15	Sound analysis with some evaluation. Use of extracts is present but may be descriptive. Judgement may be asserted rather than reasoned.
Level 2	6–10	Some relevant analysis. Limited evaluation. Weak or partial use of extracts.
Level 1	1–5	Limited analysis; evaluation absent or generic. Little or no

Level	Marks	Descriptor
		use of extracts.

Section B — Essay

Comparative advantage and globalisation

0 5	*Explain how comparative advantage can lead to mutual gains from trade between two countries.*	**15 marks**

Required definitions

- **Comparative advantage (Ricardo, 1817):** a country has a comparative advantage in the production of a good if it can produce that good at a lower opportunity cost (in terms of other goods foregone) than its trading partner.
- **Absolute advantage:** a country has an absolute advantage if it can produce more of a good with the same resources. Critically, mutual gains from trade exist even when one country has an absolute advantage in everything, provided opportunity costs differ.
- **Opportunity cost:** the value of the next-best alternative foregone.

Numerical illustration expected

Candidates should provide a two-country, two-good example. A standard illustration:

Before trade, suppose with a given resource budget:

- Country A can produce 100 units of cloth OR 50 units of wine (OC of 1 cloth = 0.5 wine).
- Country B can produce 60 units of cloth OR 60 units of wine (OC of 1 cloth = 1 wine).

Country A has the lower opportunity cost of cloth (0.5 < 1); Country B has the lower opportunity cost of wine (1 cloth vs 2 cloth for A). A specialises in cloth, B specialises in wine. With any terms of trade between 0.5 and 1 wine per unit of cloth, both countries consume beyond their pre-trade PPF — a mutual gain.

Required diagram (optional but expected at top level)

A PPF diagram for each country showing:

- Straight-line PPFs (constant opportunity cost) with slopes equal to the domestic opportunity cost ratio.
- Consumption possibility frontier (CPF) with a slope equal to the terms of trade, reaching beyond the domestic PPF.
- Specialisation point at the corner of each PPF; consumption point on the CPF that dominates any pre-trade point.

Required chain of reasoning

(i) Countries have different opportunity costs due to different factor endowments, technologies or climates. (ii) When each specialises in the good with the lower opportunity cost, total world output of both goods rises. (iii) Trading at a mutually agreed terms of trade that lies between the two pre-trade domestic opportunity-cost ratios, both countries gain because each can consume more of both goods than was possible in autarky. (iv) Dynamic gains follow from specialisation: economies of scale, learning-by-doing and dynamic efficiency from competition, shifting LRAS rightwards in both countries.

Expected assumptions and limitations (for Level 4)

- Assumes constant opportunity cost (straight-line PPFs); in reality increasing opportunity cost limits the range of specialisation.
- Assumes perfect factor mobility within each country — in practice, adjustment is costly and creates losers.
- Ignores transport costs, tariffs, and non-tariff barriers; large enough barriers can wipe out the gains.
- Assumes balanced trade; sustained imbalances can create financial vulnerabilities.
- Static theory — comparative advantage can shift over time (e.g. UK shift from manufacturing to services).

Real-world application

- UK specialises in financial services, pharmaceuticals and creative industries (high-skill sectors).
- Germany in precision engineering; South Korea in semiconductors; Bangladesh in textiles.
- China’s WTO accession (2001) produced enormous gains from specialisation, while creating adjustment costs in Western manufacturing.

Mark scheme — levels

Level	Marks	Descriptor
Level 4	13–15	Fully developed explanation with accurate numerical example or PPF diagram. Clear distinction between comparative and absolute advantage. Mutual gains established by showing both countries consume beyond pre-trade PPF. At least two limitations or real-world applications.
Level 3	9–12	Sound explanation with a reasonable numerical example or diagram. Some mention of opportunity cost. May lack discussion of limitations or real-world application.
Level 2	5–8	Some understanding. Confuses comparative with absolute advantage, or numerical example poorly constructed. Mutual gain asserted rather than demonstrated.
Level 1	1–4	Descriptive only. No numerical or diagrammatic support. Little or no grasp of opportunity cost.

0 6	*Evaluate: "Globalisation has done more to reduce poverty than any government policy."*	**25 marks**

Key definitions

- **Globalisation:** the increasing integration of economies through flows of trade, capital (FDI), labour migration and technology, and the spread of economic, cultural and political systems across national borders.
- **Poverty:** absolute poverty commonly measured at the World Bank's international threshold ($2.15 per person per day at 2017 PPP); relative poverty measured as a share of national median income.

Arguments FOR the statement (globalisation as principal driver)

- **Scale of poverty reduction:** World Bank data show extreme poverty fell from 36% of the world's population in 1990 to under 10% by 2023 — around 1.3 billion people lifted above the line, the largest reduction in human history.
- **China as a central case:** China lifted over 800 million people out of extreme poverty after opening to trade (1978 reforms) and joining the WTO (2001). Manufacturing export growth, FDI into special economic zones and rural-to-urban migration were the main channels.
- **India and South-East Asia:** India's 1991 liberalisation cut extreme poverty from over 45% to under 10% by 2022. Vietnam, Bangladesh and Indonesia followed similar trade-led paths.
- **Technology and knowledge transfer:** FDI carries production techniques, management know-how and training to recipient economies, raising productivity and real wages.
- **Cheaper imports raise real incomes:** Access to cheap imports from low-cost producers raises the real purchasing power of poor consumers worldwide — a poverty-reducing effect even for those outside exporting sectors.
- **Migration and remittances:** International remittances exceeded US$700bn in 2023, flowing disproportionately to low- and middle-income countries. Remittance-receiving households have measurably lower poverty rates.

Arguments AGAINST / evaluation

- **Government policy has been decisive in most successes:** China's poverty reduction was driven by deliberate state-led industrial policy, investment in rural infrastructure, an activist exchange-rate policy and universal basic education — not laissez-faire globalisation. India's public programmes (MNREGA rural employment guarantee, Aadhaar welfare delivery) complemented market reforms.
- **Conditional cash transfers:** Brazil's Bolsa Familia and Mexico's Progresa/Oportunidades — targeted government transfer programmes — produced large, empirically-verified poverty reductions at low fiscal cost, independent of trade.
- **Uneven regional impact:** Sub-Saharan Africa's share of global extreme poverty has risen from under 15% in 1990 to over 60% today. Despite increasing trade exposure, Africa's poverty reduction has been slow — suggesting globalisation alone is not sufficient.
- **Within-country inequality:** In many developed economies (US, UK), globalisation contributed to the decline of manufacturing employment and stagnant real wages for

lower-skill workers. Relative poverty has worsened in ‘rust-belt’ regions. Autor, Dorn and Hanson’s ‘China shock’ evidence quantifies this.

- **Financial globalisation and crises:** The 1997 Asian financial crisis and 2008 global crisis imposed severe poverty shocks; capital-account liberalisation without regulation can be destabilising.
- **Public services and the welfare state:** Universal health coverage, vaccination programmes, education and water-and-sanitation investment — all state provisions — have driven large reductions in child mortality and the root causes of chronic poverty.
- **Environmental externalities:** Rapid industrialisation through globalisation has produced severe local pollution and contributes disproportionately to climate change, with the poorest countries most exposed to climate damage.

Analytical framework

The fundamental question is one of counterfactual: what share of the observed poverty reduction would have occurred without trade liberalisation? The evidence suggests globalisation and well-designed government policy are complements rather than substitutes. East Asia’s success reflects both deep integration into world markets and active industrial, educational and infrastructure policy. Countries that opened to trade without complementary institutional reform (e.g. some resource-dependent African economies) have seen slower poverty reduction.

UK and international examples to deploy

- China: state-led export model, 800m+ poverty reduction since 1978.
- Vietnam: Doi Moi reforms combined with market opening — textiles and electronics export-led growth.
- Brazil’s Bolsa Familia (2003–) and Mexico’s Progresa — cash transfers with empirical evidence.
- UK’s welfare-to-work reforms, Universal Credit and minimum-wage regime — mixed evidence on in-work poverty.
- Sub-Saharan Africa — significant FDI into Nigeria and Kenya, but slow poverty reduction.

Expected judgement and conclusion

A strong answer recognises the statement captures an important truth — the scale of poverty reduction since 1990 is unprecedented and closely linked to globalisation — but overstates the case. The data show that globalisation has been the largest single driver of aggregate poverty reduction, but only where it has been accompanied by effective government policy: infrastructure, education, industrial strategy, macroeconomic stability and social safety nets. In countries where these complements have been weak, globalisation has delivered far less. The best conclusion is therefore that globalisation has done more than any single government policy, but less than globalisation + well-designed government policy combined — and the word ‘any’ in the statement is misleading because the comparison should be between globalisation and the portfolio of government policies, not any one of them in isolation.

Mark scheme — levels

Level	Marks	Descriptor
Level 5	21–25	Sophisticated, balanced analysis and evaluation. Uses

Level	Marks	Descriptor
		empirical evidence (World Bank data, specific country cases). Clear, nuanced judgement directly addressing the ‘more than any’ comparison. Framework for counterfactual reasoning.
Level 4	16–20	Good analysis and evaluation. At least two country case studies. Supported judgement, possibly less developed framework.
Level 3	11–15	Sound analysis with some evaluation. One or two examples. Judgement may be asserted rather than reasoned.
Level 2	6–10	Limited analysis. Evaluation weak or superficial. Few or no examples.
Level 1	1–5	Descriptive only. Little or no evaluation.

Summary of Marks

Question	Topic	AO focus	Marks
0 1	Quantitative skill — trade deficit calculation	AO2	2
0 2	Fall in net exports and AD — AD/AS diagram	AO1, AO2	4
0 3	Macroeconomic benefits of UK joining the CPTPP	AO1, AO2, AO3	9
0 4	Free trade agreements and UK long-run growth — evaluation	AO1–AO4	25
0 5	Comparative advantage and mutual gains from trade	AO1, AO3	15
0 6	Globalisation vs government policy on poverty — evaluation	AO1–AO4	25
TOTAL	**Paper 2: National and International Economy**	**—**	**80**

END OF MARK SCHEME